

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

**Interconnection of Large Loads to the
Interstate Transmission System**

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Docket No. RM26-4-000

LIMITED REPLY COMMENTS OF CONSUMERS ENERGY COMPANY

Consumers Energy Company (“Consumers Energy” or “Company”) respectfully submits the following reply comments in response to comments filed in the above-captioned proceeding involving the proposed Advance Notice of Proposed Rulemaking (“ANOPR”) addressing the interconnection of large load customers to the U.S. electric transmission system.¹ Consumers Energy limits these reply comments to only the jurisdictional issues associated with the proposals set forth in the ANOPR.² As Consumers Energy and other commenters explained in their initial comments, and as the Company reiterates below, the Commission should take care to avoid asserting the authority to regulate matters that the Federal Power Act (“FPA”) has reserved to the States. Failure to do so would put the Commission at risk of entangling itself in years of litigation concerning its authority and hamper the Secretary of Energy’s goal of “ensur[ing] efficient, timely, and non-discriminatory load interconnections.”³

¹ *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025) (unreported) (“ANOPR”).

² For avoidance of doubt, although providing only limited reply comments here, Consumers Energy reserves the right to expand upon these comments and address new and different issues in response to any formal Notice of Proposed Rulemaking that the Commission may issue on these matters in the future.

³ Secretary of Energy, *Direction that the Federal Energy Regulatory Commission Initiate Rulemaking Procedures and Proposal Regarding the Interconnection of Large Loads Pursuant to the Secretary’s Authority Under Section 403 of the Department of Energy Organization Act* at 2 (Oct. 23, 2025) (“DOE Directive”).

I. REPLY COMMENTS

“As a federal agency, FERC is a ‘creature of statute,’ having ‘no constitutional or common law existence or authority, but *only* those authorities conferred upon it by Congress.’”⁴ As a result, “if there is no statute conferring authority, FERC has none,” and absent “statutory authorization for its act, [the Commission’s] ‘action is plainly contrary to law and cannot stand.’”⁵ To that end, the FPA makes clear that the Commission’s jurisdiction extends “only to those matters which are not subject to regulation by the States.”⁶ To uphold any new Commission regulation, a court “must determine that it does not regulate *retail* electricity sales,” which the FPA has reserved as “a job for the States alone.”⁷

Consumers Energy explained in its initial comments why, in light of this statutory framework and the Supreme Court’s guidance in *EPSA*, the ANOPR proposal to regulate large load interconnections to the transmission system is, at best, on shaky jurisdictional ground. A diverse set of commenters, including public utilities,⁸ retail electric regulators,⁹ and other entities,¹⁰

⁴ *Atl. City Elec. Co. v. FERC*, 295 F.3d 1, 8 (D.C. Cir. 2002) (quoting *Michigan v. EPA*, 268 F.3d 1075, 1081 (D.C. Cir. 2001)).

⁵ *Id.* (quoting *Michigan v. EPA*, 268 F.3d at 1075).

⁶ 16 U.S.C. § 824(a).

⁷ *FERC v. Elec. Power Supply Ass’n*, 577 U.S. 260, 279-80 (2016) (“*EPSA*”).

⁸ *See, e.g.*, WEC Companies Comments at 3 (“The WEC Companies, like many other utilities with an obligation to serve their retail customers, are concerned that certain elements of the ANOPR would ultimately usurp states’ exclusive authority over retail sales”); DTE Electric Company Comments at 2 (“Extending jurisdiction as proposed in the ANOPR . . . is likely to result in significant and protracted litigation that would perversely slow investment rather than spur it.”).

⁹ *See, e.g.*, California Public Utilities Commission Comments at 3 (“Large load interconnection is part of retail service and is not part of the transmission system operation or a purchase of wholesale electricity. Large load customers are end-use retail load customers, and their interconnection and purchase of electricity is a retail transaction, the terms and conditions of which are subject to state jurisdiction.”); Louisiana and Mississippi Public Service Commissions Comments at 2-3.

¹⁰ *See, e.g.*, Indiana Energy Association Comments at 4 (“States – including Indiana – have long regulated the interconnection of retail customers, cost recovery for upgrades, local reliability planning, and

raised similar concerns. By contrast, commenters encouraging the Commission to assert jurisdiction over the interconnection of large loads to the transmission system by and large failed to meaningfully grapple with the ANOPR's jurisdictional infirmities.

For example, certain commenters analogize load interconnections to the generator interconnection process.¹¹ But unlike generator interconnections, load interconnections involve the provision of electric service to end-user consumers (i.e., retail customers), making the generator interconnection process inapposite as a jurisdictional matter. Commenters encouraging the Commission's assertion of jurisdiction over large load interconnections likewise err in asserting that the ANOPR proposal will not interfere with States' traditional authority over the provision of retail electricity service because it concerns interconnections to the transmission system.¹² Interconnecting large loads to the transmission system "encompasses more than transmission service alone," and "the receipt of energy by large load is inherently tied to retail distribution and state-regulated functions."¹³ And given the "bright line" that the FPA draws

resource adequacy. These activities fall squarely within the states' exclusive jurisdiction."); American Clean Power Association Comments at 2 ("Load interconnection has historically been a state-jurisdictional issue, and any Federal action should be measured and carefully considered.").

¹¹ See Eolian L.P. Comments at 5; Electric Power Supply Association ("EPSA") Comments at 8-9.

¹² See, e.g., Vistra Corp. Comments at 6 ("The interconnection of retail loads to the transmission system is within the Commission's exclusive jurisdiction under sections 201, 205, and 206 of the FPA."); Constellation Energy Generation, LLC Comments at 9 ("While the retail *sale of energy* directly to a load co-located with a generator at the same point of interconnection is not Commission-jurisdictional, the *transmission* of electricity to the co-located load at the shared point of interconnection is Commission-jurisdictional.").

¹³ Talen Energy Corporation Comments at 5 ("While the ANOPR asserts that the 'proposal does not exert jurisdiction over any retail sales to large load,' it fails to provide sufficient explanation of how the proposal does not infringe on states' regulatory authority when its practical result is to determine when and how retail customers can access power. The act of interconnecting a large load with the transmission system encompasses more than transmission service alone. As an end use customer, the receipt of energy by large load is inherently tied to retail distribution and state-regulated functions, and FERC must take care to ensure that it does not infringe upon those state-jurisdictional areas.").

between state and federal jurisdiction,¹⁴ comments cautioning against jurisdictional overreach are well-justified.

At bottom, the fact remains that the Commission has never asserted jurisdiction over load interconnections, which inevitably involve the provision of electric service to end-use customers. The extent of the Commission's authority to regulate load interconnections is murky at best and will undoubtedly be the subject of protracted litigation should the Commission decide to move forward with the ANOPR proposal.¹⁵ The Secretary of Energy has rightfully expressed urgency surrounding the need to establish sound policy to advance the Administration's goal of "revitalizing domestic manufacturing and driving American AI innovation, both of which will require unprecedented and extraordinary quantities of electricity and substantial investment in the Nation's interstate transmission system."¹⁶ However, Consumers Energy respectfully submits that any attempt by the Commission to expand its jurisdictional reach into that reserved to the States would be a serious and unnecessary misstep that may hamper achievement of the Administration's stated goals.

Finally, should the Commission nonetheless decide to move forward with the ANOPR proposal to federally regulate large load interconnections despite the jurisdictional issues outlined above and in numerous initial comments, Consumers Energy respectfully requests that the Commission limit its assertion of jurisdiction to interconnections to transmission facilities, as defined by FERC's longstanding seven-factor test. A diverse array of commenters agree that the

¹⁴ Matthew R. Christiansen & Joshua C. Macey, *Long Live the Federal Power Act's Bright Line*, 134 Harv. L. Rev. 1360, 1364 (Feb. 2021).

¹⁵ See, e.g., PPL Companies Comments at 8 ("Whether the Commission can go beyond its traditional limitations, where it has clear jurisdiction over transmission in interstate commerce and states retain jurisdiction over the distribution of electricity to end users, is a complex legal question that will likely be decided by the federal courts.").

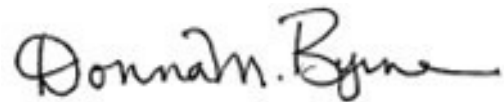
¹⁶ DOE Directive at 2 (citations omitted).

Commission should continue to rely on its seven-factor test when determining whether a proposed interconnection concerns a FERC-jurisdictional transmission line or a state-jurisdictional distribution facility.¹⁷ Adopting a new framework, such as a bright-line rule based on voltage¹⁸ or some other metric,¹⁹ would arbitrarily upend decades of Commission precedent—and could have unintended consequences. In short, the Commission’s seven-factor test should not be cast aside or revised to bootstrap Commission jurisdiction over large load interconnections.

II. CONCLUSION

Consumers Energy respectfully requests that the Commission consider these reply comments before determining how to implement the DOE Directive.

Respectfully submitted,



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¹⁷ See, e.g., California Independent System Operator Corporation Comments at 4; Consumer Energy Alliance Comments; Electricity Consumers Resource Council Comments at 3; National Rural Electric Cooperative Association Comments at 14-15; Old Dominion Electric Cooperative Comments at 2-4; Pacific Gas & Electric Company Comments at 8-9.

¹⁸ See EPSA Comments at 14 (suggesting that the Commission employ bright-line rules subject to being rebutted, such as classifying facilities by voltage).

¹⁹ See Enchanted Rock, LLC Comments at 4-5 (requesting “that the Commission consider whether it is appropriate to clarify its seven-factor test with respect to its application to the interconnection of large load facilities, or alternatively, to consider brightline criteria specific to the interconnection of large load facilities”).